INSTRUCTIONAL AREA
Financial Analysis

FINANCIAL SERVICES
TEAM DECISION MAKING EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "The event will be presented to you through your reading of the 21st Century Skills, Performance Indicators and Case Study Situation. You will have up to 30 minutes to review this information and prepare your presentation. You may make notes to use during your presentation."
- "You will have up to 15 minutes to make your presentation to the judge (you may have more than one judge)."
- "You will be evaluated on how well you meet the performance indicators of this event."
- "Turn in all of your notes and event materials when you have completed the event."

21st CENTURY SKILLS

- Critical Thinking – Reason effectively and use systems thinking.
- Communication – Communicate clearly.
- Creativity and Innovation – Show evidence of creativity.

PERFORMANCE INDICATORS

1. Explain types of investments.
2. Set financial goals.
3. Explain the need to save and invest.
4. Make responsible financial decisions.
5. Describe the nature of budgets.

EVENT SITUATION

You are to assume the role of financial advisors at START SMART FINANCIAL, a company that helps young entrepreneurs manage their money. A client (judge), who is a high school senior, has saved $6,000 and wants to start a small online business selling custom phone cases. The client needs advice on how to allocate this money to cover startup costs and maintain some savings as a cushion for future expenses.

The client has estimated that they will need $4,000 to cover the initial startup costs, including buying inventory, setting up a website, and marketing. They want to keep the remaining $2,000 in a safe place where it can grow modestly but still be available in case the business needs more funding within the first year.

Your task is to:

- Explain basic savings options, such as high-yield savings accounts or short-term certificates of deposit (CDs), and their benefits and drawbacks.
- Recommend a plan to help the client invest their $2,000 in a way that balances modest growth with easy access in case of an emergency.
- Calculate how much interest the client will earn after 1 year if they put the $2,000 in a high-yield savings account with a 1.5% annual interest rate (compounded monthly). The simple interest formula is A = P(1+r/n)^nt, where:
    - A = the amount of money accumulated after 1 year, including interest.
    - P = principal amount
    - r = annual interest rate
    - n = number of compounding periods
    - t = time in years

You will present your financial plan to the client (judge) in a meeting that takes place in your office. The client (judge) will begin the meeting by greeting you and asking to hear your ideas. After you have presented your ideas and answered the client (judge's) questions, the client (judge) will conclude the meeting by thanking you for your work.

Potential Judge's Questions:

1. Are there any risks with high-yield savings accounts?
2. What happens if I need to access the money before the year ends?

Rate the participants' ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain types of investments.	0-1-2-3	4-5-6	7-8-9	10	
2.	Set financial goals.	0-1-2-3	4-5-6	7-8-9	10	
3.	Explain the need to save and invest.	0-1-2-3	4-5-6	7-8-9	10	
4.	Make responsible financial decisions.	0-1-2-3	4-5-6	7-8-9	10	
5.	Describe the nature of budgets.	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
6.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
7.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	**Effective** Develop a solution that achieves relevant outcomes.	0-1-2	3-4-5	6-7	8	
CAREER COMPETENCIES						
9.	**Critical Thinking** Think critically to understand and solve problems.	0-1	2-3	4-5	6	
10.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
11.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSION						
12.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	